

7 Newly Overvalued Stocks this Week

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Every Monday morning, get Morningstar's insights on company news, the latest stock market trends, and in-depth company reports from our analysts. Sign up for our Stock Strategist newsletter [here](#).

Once a week, we screen the US-listed stocks under Morningstar's coverage for newly overvalued names—those whose prices have just climbed into ranges warranting 1- or 2-star

Morningstar Ratings

. For the week ended Aug. 21, seven stocks saw their ratings change to 2 stars, while two joined the 36 US-listed names in 1-star territory.

The five new 2-star stocks with the largest market capitalization are:

- Vertex Pharmaceuticals VRTX
- Regeneron Pharmaceuticals REGN
- BioNTech BNTX
- Laboratory Corporation of America LH
- Wayfair W

The two new 1-star stocks, ordered by market capitalization, are:

- Robinhood HOOD
- Barrick Mining B

The full list of new 2-star stocks is at the bottom of this story. All returns in this article are reported in the stock's base currency, and all data is sourced from Morningstar Direct.

What Is the Morningstar Rating for Stocks?

The Morningstar Rating can help investors identify stocks that are truly undervalued or overvalued, cutting through the market noise. The rating is determined by three factors: a stock's price, its

fair value estimate

—Morningstar’s estimate of its intrinsic worth—and its

Uncertainty Rating

, which captures the range of potential outcomes for that estimate. Stocks rated 4 or 5 stars are considered undervalued, those rated 3 stars are fairly valued, and the ones rated 1 or 2 stars are considered overvalued.

The Latest Stock Valuation Changes

The Morningstar US Total Market Index fell 1.44% over the past week as of Aug. 21, leaving the overall US stock market moderately undervalued, hovering at a 7% discount to its fair value estimate on a market cap-weighted basis.

Of the 879 US-listed stocks covered by Morningstar analysts:

- 34% are undervalued, 44% are fairly valued, and 22% are overvalued.
- 22 are newly undervalued.
- Seven are newly overvalued.
- Two moved from a 2-star rating to a 1-star rating.
- 12 moved from a 1-star rating to a 2-star rating.
- None of the newly overvalued stocks jumped from a 3-star rating to a 1-star rating.
- 21 are no longer overvalued.

Metrics for This Week’s New 2-Star Stocks

Vertex Pharmaceuticals VRTX

- Morningstar Rating: ★★
- Fair Value Estimate: \$450.00
- Uncertainty Rating: High

Following an 8.36% gain over the past week, biotechnology firm Vertex saw its Morningstar Rating move to 2 stars from 3. Vertex has gained 26.41% over the past three months and 37.89% over the past year. The large-core stock has a narrow economic moat. Vertex is trading

at a 22% premium to its fair value estimate of \$450 per share, with an Uncertainty Rating of High.

Regeneron Pharmaceuticals REGN

- Morningstar Rating: ★★
- Fair Value Estimate: \$730.00
- Uncertainty Rating: Medium

Biotechnology firm Regeneron climbed 3.92% over the past week, bumping its Morningstar Rating to 2 stars from 3. The company's stock is up 29.94% over the past three months and 40.13% over the past year. The stock's price is 14% above its fair value estimate of \$730 per share, with an Uncertainty Rating of Medium. The mid-value stock has a narrow economic moat.

BioNTech BNTX

- Morningstar Rating: ★★
- Fair Value Estimate: \$76.00
- Uncertainty Rating: Very High

Following a 25.22% gain over the past week, biotechnology firm BioNTech saw its Morningstar Rating move to 2 stars from 3. BioNTech has gained 28.20% over the past three months and 5.24% over the past year. The stock has no economic moat. BioNTech is trading at a 53% premium to its fair value estimate of \$76, with an Uncertainty Rating of Very High.

Laboratory Corporation of America LH

- Morningstar Rating: ★★
- Fair Value Estimate: \$293.00
- Uncertainty Rating: Medium

Diagnostics and research firm Laboratory Corporation climbed 5.72% over the past week, bumping its Morningstar Rating to 2 stars from 3. The company's stock is up 31.88% over the past three months and 22.90% over the past year. The stock's price is 15% above its fair value estimate of \$293 per share, with an Uncertainty Rating of Medium. The mid-core stock has a narrow economic moat.

Wayfair W

- Morningstar Rating: ★★
- Fair Value Estimate: \$83.00
- Uncertainty Rating: Very High

Following a 0.11% loss over the past week, internet retail company Wayfair saw its Morningstar Rating move to 2 stars from 3. Wayfair has gained 53.03% over the past three months and 32.93% over the past year. The small-core stock has no economic moat. Wayfair is trading at a 22% premium to its fair value estimate of \$83 per share, with an Uncertainty Rating of Very High.

Metrics for This Week's New 1-Star Stocks

Robinhood HOOD

- Morningstar Rating: ★
- Fair Value Estimate: \$57.00
- Uncertainty Rating: Very High

Capital markets company Robinhood climbed 13.15% over the past week, bumping its Morningstar Rating to 1 star from 2. The company's stock is up 42.43% over the past three months and 1.72% over the past year. The stock's price is 90% above its fair value estimate of \$57 per share, with an Uncertainty Rating of Very High. The mid-growth stock has a narrow economic moat.

Barrick Mining B

- Morningstar Rating: ★
- Fair Value Estimate: \$29.00
- Uncertainty Rating: High

Following a 14.42% gain over the past week, gold company Barrick saw its Morningstar Rating move to 1 star from 2. Barrick has gained 15.78% over the past three months and 90.63% over the past year. The large-value stock has no economic moat. Barrick is trading at a 64% premium to its fair value estimate of \$29 per share, with an Uncertainty Rating of High.

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